Signed by
Transition RAC
RADIX DAO LLC

Elections & Role Governance Policy

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1. Purpose

This policy defines how the DAO's key roles are created, filled, evaluated, and replaced. It ensures that all operational and oversight roles remain accountable to Governance Participants, time-bound, and replaceable — and that no individual can hold authority outside the framework that confers it.

The procedures here apply to all elections after the Permanent RAC is seated. Founding provisions covering the Transition RAC and the first Permanent RAC election are in §17.

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2. Scope

This policy applies to:

- Accountability Council (RAC) members
- Working Group Stewards
- Strategic Coordination WG members
- Delegates holding any Delegated Function (Treasury Signing, Governance Operations, Legal Signatory, Compliance Liaison, Web2 Custodian), as defined in the **Delegate Mandate**

References to "role holders" in this policy mean any person serving in one of the roles above.

How this policy applies to Delegates. Delegated Functions are ordinarily seated by RAC allocation rather than by election (**Delegate Mandate §3**). For a function seated that way, §§6–7 (nomination and election), §8 (term lengths) and §9 (term renewal) do **not** apply to the function itself: it runs with the holder's RAC seat, and those sections reach it through that seat. Everything else in this policy applies in full — §5 eligibility, §10 removal and no-confidence, §12 handover, §13 performance, §14 inactivity, §15 conflicts, and §16 multi-role participation. §11 (vacancy handling) reaches an allocated function through the underlying RAC seat: a vacant **seat** triggers §11 in the ordinary way, while a function left unheld — because its holder was removed from it, resigned it, or ceased to be seated — is filled by RAC re-allocation under Delegate Mandate §3, not by a replacement election.

Elected Delegated Function seats. Where the DAO has resolved by Governance Process proposal to fill a function by Election Proposal, where a Treasury Signing seat has converted under the conversion duty, or where the Transition RAC has designated an elected seat in the initial roster (**Delegate Mandate §3, §3.3, §3.2**), this policy applies to that **seat** in full, including §§6–9. Treasury Signing is held by five Delegates and a resolution operates seat by seat, so the roster may comprise allocated and

elected seats at the same time; each elected seat runs its own term, renewal cycle, and vacancy handling independently of the RAC seats, and its holder need not hold a RAC seat. An allocated seat on the same roster continues to be governed by the preceding paragraph.

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3. Guiding Principles

3.1 DAO Sovereignty

All role-holder authority derives from Governance Proposals adopted by Governance Participants. No role holder may exercise authority outside the mandate conferred by their election and the Charter and operational policies that govern their function. Authority cannot be expanded by the role holder themselves.

3.2 Term Limits

Every role is time-bound. Auto-renewal under §9 keeps the seat populated when no challenge is filed, but it does not transform a fixed-term seat into a permanent one — Governance Participants retain the right to file a challenge during each renewal window and to remove any role holder at any time under §10. The consecutive renewal cap (§9.5) is the load-bearing safeguard against indefinite incumbency.

3.3 Accountability

Every role holder is accountable to the DAO for their conduct and their delivery against mandate. Reporting obligations, conflict-of-interest disclosures, and recusal duties are not optional — they are part of what each role holder accepts by taking the seat. Failure to comply is itself grounds for removal under §10.

3.4 Replaceability

No role is irreplaceable. Any role holder may be removed by Governance Proposal under §10, and any seat may be made vacant and refilled through the procedures in §11. The DAO does not depend on any single individual's continued service to operate.

3.5 Transparency

Nominations, election outcomes, censures, removals, and resignations are all publicly recorded. Governance Participants must be able to see who holds what authority, on

what basis, and for how long. Performance records are maintained by the RAC and published as part of routine governance record-keeping.

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4. Role Categories

Role Type	Function
RAC Members	Oversight & governance integrity
Working Group Stewards	Execution coordination
Strategic WG	Cross-DAO coordination
Delegates	Treasury & legal execution

Delegates hold the Delegated Functions defined in the **Delegate Mandate §2**, of which Treasury Signing is one. An allocated function is held by a seated RAC member and reaches this policy through that seat (§2); an elected seat is a role in its own right for every purpose of this policy.

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5. Eligibility Requirements

To stand for any role under this policy, a candidate must accept the DAO's principles as set out in the Charter, submit a Conflicts Disclosure Statement under the Conflict of Interest Policy, meet any role-specific eligibility requirements set out in the relevant Working Group charter or RAC Mandate, and be willing and able to discharge the responsibilities of the role for the full term.

In summary, all candidates must:

- Accept the DAO's principles
- Disclose conflicts of interest under the Conflict of Interest Policy
- Meet role-specific requirements
- Be able to fulfil the responsibilities of the role

Members of the administering body standing as candidates. A seated RAC member may stand as a candidate in an election the RAC administers, but **at least one seated member must not stand**. Before the Nomination & Discussion Window closes, the RAC publishes which of its members are standing and which member or members will discharge the RAC's functions in relation to that election.

A member who stands is conflicted for that election and recuses — under **Conflict of Interest Policy §5.1**, as a matter in which they are personally the subject of the determination — from result determination (**Proposal & Voting Framework §6.5**), tie adjudication (§7A.4), the decision whether to re-run a round that closed below quorum (§7A.3), any determination as to which election mechanism is in force for that election and the proposing of a departure from the default applying to it (§7), and determination of any Compliance Challenge to the result (**Proposal & Voting Framework §8.4**). Where those recusals leave fewer non-recused members than

the floor in **DAO Parameters §5.1**, the RAC may not adjudicate and **§7A.4A** applies instead. The requirement that one member not stand guarantees that a non-recused member always remains to discharge the duties that survive in that state.

Compensated roles, any role with treasury signing authority, and any Accountability Council seat (Transition RAC or Permanent RAC) additionally require KYC completion before term start — and, for Permanent RAC members, **before seating** — per Operating Agreement §10.4, §1.24 ("Seated"), and the Contributor Compensation Policy §3.5. The Permanent RAC seat minimum, KYC-before-seating, and fixed election timing for activation are set in DAO Parameters §3A.5.

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6. Nomination Process

6.1 Open Nominations

Any eligible person may self-nominate or be nominated by another Governance Participant during the Nomination & Discussion Window for the election (Proposal & Voting Framework §4.5; DAO Parameters §3.1 and §6B).

- Nominations must be published on the governance forum
- A third-party nomination is not valid until the nominee explicitly accepts it in writing (forum post or signed statement) before the nomination period closes
- A nominee who does not publish an acceptance confirmation before the nomination period closes is not eligible to appear on the ballot for that election — the Stage 1 ballot under the two-stage mechanism, or the graded ballot under Majority Judgment

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6.2 Candidate Submission

Each candidate must publish, before the nomination period closes:

- Background and qualifications
- Role-specific experience
- Conflict disclosures (per Conflict of Interest Policy)
- Intended contribution and priorities for the term
- **Declared Delegated Function willingness** — in an election for RAC seats, which Delegated Functions (if any) the candidate is willing to hold, and whether the candidate is willing to serve on the **Emergency Signer Reserve** if not seated (§17.4)

The candidate submission constitutes acceptance for self-nominations. For third-party nominations, the acceptance confirmation (§6.1) and the candidate submission must both be published before the nomination period closes.

A declaration of Delegated Function willingness is a condition of the consequences that attach to it under §17.4 and **Delegate Mandate §3**, and of nothing else. A candidate who declares no willingness remains eligible for every seat on the ballot.

7. Election Process

Elections follow the procedure defined in the Proposal & Voting Framework §4.5. Two election mechanisms are operative, and an election runs under one of them:

- **Majority Judgment** — a single graded round, described in §7A below and in the Proposal & Voting Framework §6.2.4
- **Two-Stage Approval Voting → Confirmation** — shortlisting followed by per-candidate confirmation, described in §7.1–§7.3 below and in the Proposal & Voting Framework §6.2.5

Majority Judgment is the default mechanism. Both are fully specified and operative and neither requires activation, but they are not equally available.

- **Every election runs under Majority Judgment (§7A)** unless the DAO has resolved otherwise by Governance Process proposal
- A resolution may be made for a single election or as a **standing resolution** for a role or class of roles, remaining in force until amended or repealed. Standing is the ordinary form: an election runs to a fixed timetable, and a proposal begun after a seat falls vacant will rarely conclude within it
- The DAO may equally resolve to return a role to the default

The mechanism is not selected by the body administering the election. The RAC creates the election under the mechanism in force, has no power to depart from the default on its own motion, and states that mechanism on the Temperature Check ballot (Proposal & Voting Framework §3.2).

When a resolution takes effect. A resolution applies to an election if it was in force before that election's Nomination & Discussion Window opened, or if the Temperature Check on the proposal making it passed before that window opened and the proposal subsequently passes. A resolution meeting neither test takes effect for the next election. Where the second test is met the election continues under the mechanism otherwise in force; if the proposal passes before the election's own Temperature Check opens the election runs under the resolved mechanism, and if it passes later the election is void and re-run from a fresh Nomination & Discussion Window, with no candidate required to re-accept (§6.1).

Why the rule takes this form. The two mechanisms do not always return the same people from the same field, so a change made once the field is known cannot be shown to be independent of it. Fixing the mechanism before nominations open removes the question. The second test is needed because every deadline governing when an election must begin is a maximum and none a minimum (§11.1; DAO Parameters §3A.5) — a rule pinned only to the window's opening would be defeasible by the timing of an administrative act.

Recusal. A seated member standing as a candidate is recused under §5 from proposing a departure applying to that election and from any determination as to which mechanism is in force for it.

Emergency amendment. The mechanism may also be altered temporarily under **Charter §12.2**, which this policy cannot restrict. Where that occurs in relation to a live election, no candidate is seated under it until the amendment is ratified (§7.4).

Everything outside the vote itself is common to both mechanisms: eligibility and nomination (§5–§6), the Nomination & Discussion Window and the Temperature Check that approves the candidate list, the eligible voting power and the snapshot rule that applies to it (Proposal & Voting Framework §6.1), term start (§7.4), the reserve list (§7.5), and the referral of unfilled seats to vacancy handling (§11; founding election: §17.1).

The Election Methods Guide describes the considerations bearing on whether the DAO should resolve a departure from the default for a given seat. It is not part of this policy, has no legal force, and imposes no requirement on anyone. Because this section leaves no per-election choice to exercise, the guide informs a proposal put to the DAO, not an administrative decision by the RAC.

Which document governs what. The **counting mechanics** of each mechanism — ballot form, how a result is computed, thresholds, tie-breaks, and low-turnout handling — are defined in the Proposal & Voting Framework §6.2.4 (Majority Judgment) and §6.2.5 (two-stage), which are authoritative for them. **This section is authoritative for the role consequences** — seating, the reserve list, term start, tie adjudication, and the referral of unfilled seats. Where this policy restates a counting rule it does so for readability; the Proposal & Voting Framework prevails if the two differ.

7.1 Stage 1 — Shortlisting

An Approval Voting proposal is published listing all eligible nominees.

- Each voter may select any number of nominees they approve (unrestricted — see DAO Parameters §6B)
- The shortlist size equals the number of open seats multiplied by the shortlist multiplier (DAO Parameters §6B)
- Candidates are ranked by total voting power received
- The top candidates by that ranking advance to Stage 2
- The Stage 1 result is procedurally binding: no substitution of shortlisted candidates is permitted outside the fallback process in §7.3
- Tie-handling for the last shortlist slot follows Proposal & Voting Framework §6.2.5

7.2 Stage 2 — Confirmation

Each shortlisted candidate is put to a separate Confirmation Vote (YES/NO) proposal (**Proposal & Voting Framework §6.2.7**). There is no Abstain option: a voter with no view on a candidate expresses that at Stage 1 by not selecting them.

- Stage 2 proposals may run concurrently

- A candidate is confirmed if they meet the quorum and approval threshold for Election proposals (DAO Parameters §6B — Election Stage 2 Quorum and Election Stage 2 Approval Threshold)

7.2.1 Seating of Confirmed Candidates

Seating of confirmed candidates. Where the number of candidates confirmed at Stage 2 exceeds the number of open seats, seats are filled by confirmed candidates in descending order of total voting power received in Stage 1. Stage 2 confirmation establishes eligibility to be seated; the Stage 1 ranking determines the order of seating. A confirmed candidate who is not seated is not elected to the role, without prejudice to §7.5 (Reserve List).

Ties. If two or more confirmed candidates are tied in Stage 1 total voting power for the last available seat, the tie is resolved in favour of the candidate with the higher YES-to-total-votes-cast ratio in their Stage 2 confirmation vote. If the tie persists, the RAC conducts a single runoff Approval Voting poll between the tied candidates, using the short Temperature Check period (DAO Parameters §3.1) and subject to the **Election Tie Runoff Quorum** (DAO Parameters §6B — 3%); the candidate with the higher total voting power in the runoff is seated. **If the runoff fails to reach that quorum, or is itself tied**, no candidate is seated for that seat and it is referred to §11 (founding election: §17.1) — the same outcome as a tied runoff under Majority Judgment (§7A.4A), and for the same reason: the electorate has been asked twice and has not separated these candidates. The Stage 1 tie-expansion rule (Proposal & Voting Framework §6.2.5), which expands the shortlist when candidates tie for the last shortlist slot, does not apply at the seat boundary, where the number of seats is fixed and cannot be expanded.

7.3 Fallback and Rerun

When a Stage 2 confirmation vote closes, each candidate's result is classified as follows (the Stage 2 parameters are in DAO Parameters §6B):

- **Confirmed** — the vote reaches the Election Stage 2 Quorum and the YES share meets the Election Stage 2 Approval Threshold. The candidate is eligible to be seated under §7.2.1.
- **Rejected** — the YES share is below the Election Stage 2 Approval Threshold, **whether or not quorum was met**. The candidate is not elected and does not rerun. A below-threshold result is a rejection regardless of turnout; a quorum shortfall never rescues a candidate the voters declined to confirm.
- **Quorum-held-over** — the YES share meets the Election Stage 2 Approval Threshold but the vote does not reach the Election Stage 2 Quorum. The candidate is **not** rejected. Their confirmation is re-run once, at the reduced Election Stage 2 Rerun Quorum and the raised Election Stage 2 Rerun Approval Threshold, over the extended Election Stage 2 Rerun Voting Period (DAO Parameters §6B). If the rerun meets both the rerun quorum and the rerun

approval threshold, the candidate is confirmed; otherwise the candidate is not elected. No candidate is re-run more than the Max Election Stage 2 Reruns (DAO Parameters §6B).

Filling remaining seats. Where a candidate is rejected, or fails their rerun, and seats remain open:

- The next-highest candidate from Stage 1 by total voting power who has not yet had a Stage 2 vote is automatically advanced to a confirmation vote, run at the **standard** Election Stage 2 Quorum and Approval Threshold — a newly advanced candidate has not yet demonstrated majority support and so does not begin at the reduced rerun quorum. An advanced candidate who is quorum-held-over is entitled to the same single rerun.
- This continues until all seats are filled or no un-voted Stage 1 candidate remains.
- If no un-voted Stage 1 candidate remains and no permitted rerun is outstanding, remaining vacancies trigger the vacancy handling process in §11 (or, for the founding Permanent RAC election, the re-run procedure in §17.1).

Where Stage 2 confirmation votes run concurrently, the RAC opens any rerun or fall-back confirmation vote only after all concurrent Stage 2 votes for that election have closed.

7A. Majority Judgment Elections

This section describes the Majority Judgment path, and stands in place of §7.1–§7.3 where an election runs under that mechanism. Sections §7.4 (Term Start) and §7.5 (Reserve List) apply to both mechanisms. The voting mechanics are defined in the Proposal & Voting Framework §6.2.4; the parameters are in DAO Parameters §6B.

7A.1 The Graded Vote The candidate list approved at the Temperature Check is put to a single graded vote.

- Each voter assigns exactly one grade to **every** candidate, from the scale in DAO Parameters §3.5 (Excellent, Very Good, Good, Acceptable, Poor). A ballot that leaves any candidate ungraded is invalid and is not counted
- Each candidate's **qualifying grade** is the highest grade at which the voting power grading that candidate at or above it **reaches or exceeds** the Grade Quantile — **three-fifths** — of the voting power cast (Proposal & Voting Framework §6.2.4). Exact values resolve **upward**: voting power equal to three-fifths of that cast is sufficient to fix a candidate's grade
- The Grade Quantile is fixed by Proposal & Voting Framework §6.2.4 and applies to every Majority Judgment election. It is not a parameter, is not selected by the body creating the election, and does not vary between elections or between rounds
- Candidates are ranked by qualifying grade, ties broken under the procedure in the Proposal & Voting Framework §6.2.4
- A candidate is **electable** only if their qualifying grade meets the MJ Minimum Qualifying Grade (DAO Parameters §6B). This is the Majority Judgment counter-

part to the Stage 2 approval threshold: it prevents a candidate the electorate broadly grades poorly from being seated on ranking alone
- The candidate list is fixed from the creation of the election and may not be substituted or added to, in the same way and for the same reason that the Stage 1 result is procedurally binding under §7.1
- There is **no requirement that candidates outnumber seats.** Majority Judgment does not rely on the ranking to produce a loser — the Minimum Qualifying Grade does that independently. Where candidates are no more numerous than the seats, the election is a quality test: each candidate is seated only if the electorate grades them at or above the floor, and any seat left unfilled goes to §11. An election with as many candidates as seats, or fewer, is a valid Majority Judgment election (Proposal & Voting Framework §6.2.4)

7A.2 Seating and Fallback

- Seats are filled by **electable** candidates in descending qualifying-grade order. The qualifying-grade ranking is itself the seating order — there is no separate confirmation step, so the oversubscribed-confirmation question addressed at §7.2.1 does not arise
- Where a candidate ranked within the open seats is **not electable**, that seat passes to the next-ranked electable candidate. This mirrors the fallback advancement in §7.3
- Where electable candidates are exhausted before the seats are, the election stands for the seats it filled. Each remaining seat is referred to the vacancy handling process in §11 (or, for the founding Permanent RAC election, the re-run procedure in §17.1)
- Electable candidates who are not seated are placed on the reserve list under §7.5

A single election may therefore fill some seats and refer others. Leaving a seat unfilled is a permitted outcome, not a failure of the election: it is the consequence of the Minimum Qualifying Grade doing its work.

This referral applies to **open** seats. In a renewal-challenge election under §9.2 the seat is occupied, and where no challenger is electable the incumbent continues in role rather than the seat falling vacant (§9.2; but see §9.5 at the consecutive renewal cap).

7A.3 Low Turnout and Rerun Election proposals are excluded from the Governance Continuity Fallback (DAO Parameters §9A), so Majority Judgment carries its own low-turnout handling. Unlike the two-stage rerun in §7.3, it does **not** reduce the quorum.

- **Quorum met** — the round is valid and seating proceeds under §7A.2
- **Quorum not met** — the RAC may re-run the election once, as below, and publishes its decision either way

The rerun. The election is re-run once over the extended **MJ Rerun Voting Period** (DAO Parameters §6B), at the **same** MJ Rerun Quorum and the **same** MJ Rerun Minimum Qualifying Grade as the first round. The rerun uses the same candidate list, the same number of seats, the same Grade Quantile, and the same snapshot (Proposal & Voting Framework §6.1); the only thing that changes is that the electorate has twice as long to participate. The RAC publishes a rerun notice when it opens, and the extended voting period runs from that notice. No election is re-run more than the **Max MJ Reruns** (DAO Parameters §6B). If the rerun also closes below quorum, no candidate is elected and all seats are referred to §11 (founding election: §17.1).

The candidate list carries over unchanged. Nominations do **not** reopen and no candidate is added or substituted, so the field the community has already approved is the field it votes on again. A candidate on the carried-over list who no longer wishes to serve may withdraw by notice to the RAC before the rerun opens — §5 requires a candidate to be willing to serve, so nobody is carried onto a ballot against their wish — and a candidate who does not withdraw stands without any fresh acceptance under §6.1.

A quorum failure confers no power to change the mechanism. The election runs under the mechanism in force when its Nomination & Discussion Window opened (§7), and a failed round does not reopen that. The RAC may not restart the election under §7.1–§7.3; a rerun under this section is its only continuation.

The rerun is not automatic. A round that closes below quorum ends there until the RAC acts, and the governance platform does not schedule or date a rerun of its own motion.

Deadline. The RAC must open the rerun, or publish that it will not, within the **Replacement Election Trigger Time** (DAO Parameters §6B — 7 days) of the round closing. Where it does neither the election is treated as **failed** and every seat falls to §11 (founding election: §17.1).

The scope of the decision. The RAC decides whether the election is re-run and nothing else, having no discretion over the quorum, the Grade Quantile, the Minimum Qualifying Grade, the candidate list, the seat count or the snapshot. Declining to rerun refers the seats to §11, where nominations reopen, so the RAC must publish its reasons for declining.

This applies to a seat contested under a renewal challenge as much as to an open seat. The continuity rule in §9.2 — under which an incumbent is renewed where the election produces no successor — operates where an election **seats no one**, not where the RAC leaves an election **unresolved**. Inaction by the RAC therefore does not renew an incumbent, and there is no advantage to be gained by leaving the decision unmade. The incumbent holds over in office until the §11 replacement election concludes, without renewal and without adding to their consecutive term count (§9.2).

Why the quorum is not reduced on rerun. A rerun re-puts the same question to the same electorate on the same snapshot, so its remedy is time rather than a lower bar; and reducing the quorum would make the rerun cheaper to control than the round it exists to rescue, rewarding suppression of the first round. The full reasoning is set out once, in the **Proposal & Voting Framework §6.2.4**, and is not repeated here.

Limits on the decision. It arises **only** once a round has closed below quorum. There is no power to halt a Majority Judgment vote while it is open, and no power to set aside a round that met quorum — a result that meets quorum stands, including a result that seats nobody.

A round that meets quorum but seats nobody — because no candidate is electable — is **not** a quorum failure and does not permit a rerun. The electorate has answered; the answer is that none of these candidates should hold the seat. Those seats go to §11.

7A.4 Tie Adjudication Where the majority gauge does not separate candidates and the tie determines who is seated (Proposal & Voting Framework §6.2.4), the route depends on how many candidates are tied.

- **Two candidates** — the RAC adjudicates under the principle below
- **More than two, for a remaining seat** — the RAC opens a single runoff: an Approval Voting poll (Proposal & Voting Framework §6.2.2) among the tied candidates only, over the short Temperature Check period (DAO Parameters §3.1), with no new nominations. The runoff must meet the **Election Tie Runoff Quorum** (DAO Parameters §6B — 3%); the minimum winner threshold in DAO Parameters §3.5 does not apply. The candidate with the highest approval power takes the seat. Seats the election already settled are seated on schedule (§7A.2) and do not wait on the runoff. If the runoff fails to reach quorum, the seat is unfilled and referred to §11 (founding election: §17.1). If the runoff is itself tied, the RAC adjudicates under the principle below
- **In the reserve list** — the RAC adjudicates under the principle below whatever the number of candidates tied, because §7.5 exists so that a vacancy can be filled without a further election

The runoff uses Approval Voting rather than a further graded round because an unresolved tie means the electorate graded these candidates identically; repeating the graded round on the same five-grade scale would be likely to repeat it.

The principle. Where the RAC adjudicates a tie, it selects the candidate whose competencies are least represented among the role holders the body will have at term start (§7.4) — the candidate who most broadens the competency available to the body. Competency means capability relevant to the role's mandate: domain knowledge, technical or professional skill, and relevant operating experience. It does not extend to personal characteristics.

The RAC assesses this from the candidates' published submissions under §6.2 and nothing else — not private knowledge, not reputation, not any assessment the community cannot read. Where the principle does not distinguish the candidates, the RAC says so and determines the tie on reasons it publishes. Either way the determination and its reasons form part of the published result (§6.5).

This principle applies at no other point and confers no power to revisit an ordering the gauge settled. It is appropriate here because a tie the gauge cannot separate is

the one case where the electorate expressed no preference between the candidates — it completes the vote rather than overriding it.

This section applies only where the RAC retains at least the minimum number of non-recused members required by **DAO Parameters §5.1**. Where it does not, §7A.4A applies and no adjudication takes place.

7A.4A Where the RAC Cannot Adjudicate This section applies to an election in which recusals under §5 and the **Conflict of Interest Policy §5.1** leave the RAC with fewer non-recused members than the floor in **DAO Parameters §5.1** — in practice, an election in which enough seated members are themselves candidates. The RAC may not adjudicate in that state. **No substitute adjudicator is appointed; the discretion is removed instead.**

- **Result determination is arithmetical.** The non-recused member or members compute and publish the result under **Proposal & Voting Framework §6.5**, applying only the counting rules in **§6.2.4** — the grade distributions, the qualifying grades at the Grade Quantile, the Minimum Qualifying Grade, the ranking, and the majority gauge. §5 guarantees at least one non-recused member remains to discharge this duty. The publication carries no judgement and confers no discretion; it records what the tallies produce.
- **Ties go to a runoff, whatever the number tied.** Where the majority gauge does not separate candidates and the tie determines who is seated, the RAC opens the runoff described in §7A.4 — an Approval Voting poll among the tied candidates only, over the short Temperature Check period, with no new nominations, subject to the **Election Tie Runoff Quorum** (DAO Parameters §6B — 3%). The two-candidate route to RAC adjudication in §7A.4 is **not** available in this state.
- **A failed or tied runoff leaves the seat unfilled.** Where the runoff does not reach quorum, or is itself tied, no candidate is seated for that seat and it is referred to §11 (founding election: §17.1). This is the same outcome §7A.2 provides where no candidate is electable, and for the same reason: the electorate has been asked twice and has not separated these candidates, and no body may lawfully choose between them on the DAO's behalf.
- **Reserve list.** A reserve-list tie that the gauge does not separate is **not** resolved under §7A.4 in this state. The vacancy is not filled from the reserve list and §11 applies to it unmodified — §7.5 exists to avoid an election, and a runoff would defeat that purpose.

The competency principle in §7A.4 is unavailable in this state at every point, including on any later seating from the reserve list. This is a deliberate trade: the framework gives up a reasoned adjudication in order to avoid conferring a discretionary power on a body that is materially interested in how it is exercised.

7.4 Term Start

A role holder's term begins on the **later** of:

1. the close of the 48-hour Compliance Challenge Window on the published election result (**Proposal & Voting Framework §6.5, §8**; DAO Parameters §4) or, where a Compliance Challenge is filed within it, the RAC's determination of that challenge in favour of the result; and
2. satisfaction of every condition precedent to seating for the role — including KYC verification where required (**Operating Agreement §10.4, §1.24**; DAO Parameters §3A.5) and the role-concentration cap (DAO Parameters §6B).

An election is complete for this purpose when every vote it produced has closed and its result has been published: all Stage 2 confirmation votes under the two-stage mechanism, or the graded round under Majority Judgment, in each case including any rerun, fallback-advancement vote, or tie runoff.

No role holder is seated while the Compliance Challenge Window on their election result is open. A result successfully challenged would otherwise unseat a person already exercising the role, and the framework provides no means of undoing acts taken in the interval. This mirrors the pre-execution hold that governs treasury and executable proposals (DAO Parameters §9; Proposal & Voting Framework §12).

Seating from the reserve list under §7.5 is not an election result and does not carry a further Compliance Challenge Window; it takes effect on satisfaction of the conditions precedent in paragraph 2 above.

Elections conducted under an emergency amendment. Where any rule governing an election was altered by an emergency amendment under **Charter §12.2** between the opening of that election's Nomination & Discussion Window and the publication of its result, **ratification of that amendment is a condition precedent to seating** under paragraph 2. This applies whatever the amendment altered — the mechanism, a counting rule, a quorum, a threshold, the electability floor, eligibility or nomination, or the timing of any stage. Charter §12.2 makes an unratified amendment void only prospectively and reviews what was done under it, which assumes those acts can be undone; seating cannot be, and an election ordinarily completes well inside the ratification period.

It reaches seating from the reserve list. Paragraph 5 provides that reserve seating is not an election result and carries no further Compliance Challenge Window — a rule about the **Compliance Challenge**, not about conditions precedent. A reserve list is produced *by* an election, so where that election was conducted under an unratified amendment no candidate is seated from the list either, however long afterwards the vacancy arises.

Where ratification fails. The election is void: no candidate is seated, any reserve list it produced ceases to have effect, and every seat is referred to §11 (founding election: §17.1). The published result stands as a record but confers nothing.

Deferral is not a vacancy and not a continuity event. A seat awaiting ratification is a seat in the course of being filled. It does not become vacant under §11, does not start the Replacement Election Trigger Time, and is not a continuity trigger

(**Governance Continuity Framework §4**). Where a sitting role holder's term would expire during the deferral they hold over until seating or voiding, without renewal and without addition to their consecutive term count (§9.2). The RAC publishes the deferral, the amendment relied on, and the date by which ratification must occur.

7.5 Reserve List

A candidate who cleared the election's own bar but was not seated because the seats ran out is placed on a reserve list for the role. This applies under both mechanisms:

- **Two-stage elections** — a candidate confirmed at Stage 2 but not seated under §7.2.1, ranked by Stage 1 total voting power
- **Majority Judgment elections** — an electable candidate not seated under §7A.2, ranked by qualifying grade and by the tie-break order in the Proposal & Voting Framework §6.2.4

A candidate who did not clear that bar — rejected at Stage 2, or not electable under §7A.1 — is never placed on the reserve list.

The reserve list does not fill a seat vacated by removal. Such a seat is filled by a replacement election under §11.1, whatever the list's rank order and whatever time remains in its validity period. Removal is the one vacancy type in §11 produced by a vote; resignation, incapacitation and end of term without renewal arise from the role holder's own act, their misfortune, or the calendar. Allowing a removal to feed the list would let the same voting power be spent twice — once on the election that populated it and again to install a pre-positioned successor with no further electoral test and, under §7.4, no Compliance Challenge Window. Requiring an election costs only time: every reserve candidate may stand in it.

The list is not consumed by the removal. It survives for its remaining validity period and remains available to any other vacancy in the same role, including one arising while the replacement election is under way.

If a seat in the same role becomes vacant within the Reserve List Validity Period (DAO Parameters §6B) of the completion of the election, the highest-ranked reserve candidate who confirms continued willingness to serve is seated without a further election, and the replacement election requirement in §11.1 does not apply to that vacancy.

Seating from the reserve list remains subject to all conditions precedent for the role, including KYC verification before seating (Operating Agreement §10.4; DAO Parameters §3A.5 where applicable) and the role-concentration cap (DAO Parameters §6B — Max Concurrent Roles per Individual). If no reserve candidate is available or willing, §11 applies unmodified. The reserve list expires on the earlier of the end of the Reserve List Validity Period measured from election completion or the seating of all listed candidates.

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8. Term Lengths

Role	Term
RAC Members	6 months
Working Group Stewards	6 months
Strategic WG	6 months
Delegated Function — elected seat	6 months

Term lengths are defined in DAO Parameters §6B and may be adjusted by Governance Proposal amending that registry.

An allocated Delegated Function has no term of its own and does not appear in this table. It runs with the holder's RAC seat and ends on re-allocation, removal, or the holder ceasing to be seated (**Delegate Mandate §3**; §2 above). The 6-month term applies only to a seat filled by election — under a switching resolution, the conversion duty, or the initial roster designation (**Delegate Mandate §3, §3.3, §3.2**).

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9. Term Renewal

9.1 Auto-Renewal Unless Challenged

At the end of each term, a role holder is **automatically renewed** for one additional term of equal length unless any of the following conditions are met:

- The role holder **declines renewal** (by notifying the RAC before the challenge window closes)
- A **challenge notice** is filed by an eligible Governance Participant during the 14-day challenge window before term expiry (see §9.2)
- The role holder has received a **formal censure or breach finding** during the term under the Code of Conduct or this policy §10
- The role holder has reached the **consecutive renewal cap** (see §9.5)

If none of these conditions apply, renewal takes effect automatically on the day following term expiry — no Governance Proposal is required.

If a challenge is filed, the election process in §7 is triggered, under the mechanism selected for that election.

9.2 Challenge Window

The **challenge window** opens 21 days before the current term's expiry date and closes 7 days before expiry (a 14-day window — DAO Parameters §6B).

Filing a challenge is a unilateral right — it does not require a governance vote and cannot be blocked by any Governance Participant, including those with large voting power.

To file a valid challenge:

- The filer must hold a minimum of **0.1% of eligible voting power** at the time of filing (DAO Parameters §6B), verified against the most recent governance snapshot
- The filer must publish a formal challenge notice to the governance forum identifying the role, the incumbent, and their intent to contest renewal
- The RAC acknowledges valid challenges within 2 business days and publishes a notice confirming that the election process has been triggered

A filed challenge does not require the incumbent to stand down — the incumbent continues in role until the election concludes.

If a challenge is filed but the election produces no successor — no challenger is **confirmed** under the two-stage mechanism, or no challenger is **electable** under Majority Judgment — the incumbent is renewed and their consecutive term count continues.

A renewal-challenge election contests an occupied seat. The seat is not vacant, and the referral of an unfilled seat to vacancy handling (§7.3, §7A.2, §11) does **not** apply to it: where the election seats no one, the incumbent continues in role under this section rather than the seat falling vacant. This is so under both mechanisms, and it is the reason a weak challenge field cannot empty a working seat. The exception is a challenge arising at the consecutive renewal cap, where auto-renewal is unavailable — see §9.5.

Holdover where the election fails without producing a result. Where a renewal-challenge election ends unresolved rather than seating no one — in particular where the RAC does not publish its route within the deadline in §7A.3 — the incumbent is **not renewed**, but **holds over** in office until the replacement election under §11 concludes. A holdover period confers no renewal and does **not** increase the incumbent's consecutive term count (§9.5). Holding over keeps the body populated, so that an administrative failure by the RAC cannot by itself drop seated membership below the floor in DAO Parameters §5.1 and trigger a continuity event; and because it confers no renewal, it leaves the incumbent no better off than if the election had run.

9.3 Performance Consideration

When a challenge is filed, voters may consider the incumbent's performance record, including:

- Reporting compliance
- Delivery against mandate
- Any censure or breach findings

Performance history is published by the RAC as part of its routine governance record-keeping.

9.4 Staggered Initial Terms

To prevent simultaneous leadership turnover across all roles, initial term start dates are staggered as follows:

Role	Initial Term Start
RAC Members	Month 1 — term start under §7.4
WG Stewards — Group A (first cohort of WGs)	Month 1 — term start under §7.4
WG Stewards — Group B (second cohort of WGs)	Month 4 — 90 days after Month 1

The specific Working Groups assigned to Group A and Group B are determined by the order in which each Working Group is established by Governance Proposal — the first cohort of WGs constituted after the Permanent RAC is seated are Group A; subsequent WGs are assigned to Group B unless governance specifies otherwise at establishment. This stagger ensures that no more than half of all role holders face simultaneous renewal at any one time.

Allocated Delegated Functions are not staggered. A Delegated Function seated by RAC allocation has no term of its own and runs with the holder's RAC seat (**Delegate Mandate §3**), so there is nothing to stagger. An **elected** seat carries its own term, and its initial term start is set in the proposal or resolution creating it — the Election Proposal, the RAC's certificate under the conversion duty, or the Transition RAC's designation under **Delegate Mandate §3.2**, in which last case the term runs from the Activation Date.

9.5 Consecutive Renewal Cap

A role holder may auto-renew for a maximum of **4 consecutive terms** (including the initial elected term), totalling a maximum of **2 years of continuous service** without a contested election (DAO Parameters §6B).

Upon reaching the cap:

- Auto-renewal is not available for that term end
- A full election (§7) must be held under either mechanism — the incumbent may stand as a candidate and is subject to the normal nomination process and to the same bar as every other candidate
- If the incumbent is returned by the election, their consecutive term count **resets to 1**
- If the incumbent does not stand, or stands and is not seated — not confirmed under the two-stage mechanism, or not electable under Majority Judgment — the seat is filled by the election winner
- **If the election seats no one at all**, the incumbent is **not** renewed: auto-renewal is unavailable at the cap, so the renewal-continuity rule in §9.2 does not operate here. The seat falls vacant on term expiry and is handled under

§11. This is the intended consequence of the cap — two years of continuous service without a contested election is the limit, and an election that produces no successor does not extend it

The cap applies to consecutive terms in the **same role**. Serving in a different role does not count toward the cap. A gap of one or more full terms resets the consecutive count.

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10. Removal & No-Confidence

10.1 Removal by Vote

Any role holder may be removed by Governance Proposal at any time. The proposal must identify the role holder and state the grounds. A removal vote is a Governance Process proposal subject to the standard pipeline in the Proposal & Voting Framework §3, with the exception that the affected role holder is not required to stand down during the vote.

A removal carries no threshold of its own. It is decided at the Governance Process quorum and approval threshold (DAO Parameters §3.2, §3.3), subject to the Minimum Affirmative Support floor (§3.3A), like any other Governance Process proposal. Removal and seating are priced alike so that the same voting power cannot be spent twice — once to seat and again, more cheaply, to unseat. The threshold accordingly matches the Election Stage 2 Approval Threshold and the Grade Quantile alike (Proposal & Voting Framework §6.2.4, §6.2.5).

When a removal takes effect. On the close of the 48-hour Compliance Challenge Window on the published result, or on the RAC's determination of a Compliance Challenge in favour of the result (Proposal & Voting Framework §6.5, §8; DAO Parameters §4) — subject to §10.1A. This mirrors §7.4: nobody is seated while their result remains open to challenge, and nobody is unseated while it does.

10.1A Floor-Protected Removal

This section applies to any removal that would reduce **seated RAC members below the applicable floor** — Permanent RAC **5**, Transition RAC **3** (DAO Parameters §5.1) — or that would reduce **active Treasury Signers below the applicable execution quorum** (DAO Parameters §6A). The second limb applies to the removal of **any Treasury Signing role holder**, whether they hold the seat by allocation as a seated RAC member or by election under **Delegate Mandate §3.1 or §3.2** without a RAC seat. It mirrors the protection §11.2 gives a resignation.

(a) The removal is binding; its effect on the seat is deferred. The result stands and is not revisited. The replacement process under §11 begins on the date the removal would otherwise have taken effect, as though the seat were vacant; that process is a **replacement election**, since a seat vacated by removal is not offered to

the reserve list (§7.5). The removal takes effect on the earlier of (i) a qualified replacement being seated, or (ii) expiry of the **Replacement Completion Time** (DAO Parameters §6B) from that date.

(b) A removal is never frustrated by the difficulty of replacing the person removed. Where (ii) is reached with no replacement seated, the removal takes effect regardless and the shortfall is escalated as a continuity event (**Governance Continuity Framework §4.1/§4.2**). Deferral buys time to fill the seat; it does not confer tenure.

(c) Deferral is not a stay on the grounds. During a deferral the member remains in office and continues to exercise the role, as a resigning member does under §11.2(a): the floor is protected by a functioning seat, and a member who could not act would make the body's decision quorum harder to reach rather than easier. Where that is not tolerable the suspension power in §10.3 remains available on its own conditions, and a member so suspended holds the seat **for floor-counting purposes only**. Such a suspension does **not** lapse under §10.3's 14-day ratification requirement, which exists for a provisional pre-judgment suspension; once the DAO has voted to remove, it runs for the duration of the deferral.

(d) Concurrent removals. Where two or more removals would together breach the floor, this section applies to each.

A removal that leaves the body at or above the floor takes effect under §10.1.

10.2 Grounds for Removal

Grounds for removal include:

- **Misconduct** — breach of the Code of Conduct or Conflict of Interest Policy
- **Inactivity** — sustained failure to perform role duties, measured against the Inactivity Threshold (DAO Parameters §6B)
- **Breach of duty** — acting outside the role's mandate, or failing to act where the mandate requires action
- **Loss of trust** — any other circumstance in which Governance Participants determine the role holder can no longer credibly perform the function

A removal proposal need not allege all grounds; one is sufficient.

10.3 Immediate Suspension

The RAC may temporarily suspend a role holder pending a removal vote where:

- An immediate security risk exists (e.g., a Treasury Signer key is compromised)
- Misconduct is alleged and ongoing role exercise risks material harm
- Operational continuity is threatened by the role holder's continued exercise of authority

A suspension is provisional, does not constitute a removal finding, and must be ratified or reversed by Governance Proposal within 14 days of issuance. The Emergency & Safeguards Policy governs the procedural detail.

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11. Vacancy Handling

If a role becomes vacant — through resignation, removal, incapacitation, or end-of-term without auto-renewal — the RAC initiates a replacement election under §7 within the Replacement Election Trigger Time defined in DAO Parameters §6B, and the election completes within the Replacement Completion Time, unless a reserve candidate is seated under §7.5, in which case no replacement election is required for that vacancy. Where a reserve list for the role is in effect under §7.5 **and the vacancy did not arise through removal**, the RAC first offers the vacant seat to reserve candidates in rank order and initiates a replacement election only if no reserve candidate is available or willing to serve. **A seat vacated by removal under §10 always goes to a replacement election**, and the reserve list is not offered it (§7.5); the RAC has no discretion either way, and the deferral in §10.1A does not alter this. Where the vacancy creates an immediate operational risk (for example, Treasury Signers falling below execution quorum), the Governance Continuity Framework §4.2 governs interim coverage.

11.1 Time to Replacement

Step	Maximum Time
Replacement election must begin	7 days from vacancy (DAO Parameters §6B)
Replacement election must complete	21 days from vacancy (DAO Parameters §6B)

11.2 Floor-Protected Resignation

This section applies to any resignation that would reduce **seated RAC members below the applicable floor** — the Permanent RAC floor of **5**, or the Transition RAC floor of **3** (DAO Parameters §5.1) — or that would reduce **active Treasury Signers below the applicable execution quorum** (post-activation 3-of-5; Transition Period 2-of-3 — DAO Parameters §6A). The second limb applies to the resignation of **any Treasury Signing role holder**, whether they hold the seat by allocation as a seated RAC member or by election under **Delegate Mandate §3.1 or §3.2** without a RAC seat; where an elected signer resigns, the replacement process referred to in (a) is the replacement election for that seat under §11. This is the circumstance contemplated by the Operating Agreement's "where resignation is permitted" qualifier (Operating Agreement §4.7(b)): such a resignation is permitted, but its effect is conditioned as set out below. A resignation that leaves the body **at or above** the floor is unaffected by this section and takes effect immediately on written notice (DAO Parameters §5.1). The notice and no-compelled-service mechanics in (a)–(b) apply to both bodies; for a

Transition RAC seat the seat is not refilled by replacement election (§11.1) but is handled under the **Governance Continuity Framework §4.6**, the Transition RAC seats being fixed by the Operating Agreement.

(a) Notice and overlap. The resigning member must give the Floor-Protected Resignation Notice (DAO Parameters §6B) to the RAC and the Governance & Legal Working Group. The resignation takes effect on the earlier of (i) a qualified replacement being seated, or (ii) expiry of the notice period. During the notice period the member remains in office, completes handover under §12, and the replacement election begins under §11.1.

(b) No compelled service. A member may not be compelled to serve beyond the notice period. If the member declines to serve the notice, becomes inactive (DAO Parameters §6B), or is otherwise unable to act, the seat vacates immediately and the resulting sub-floor condition is escalated as a continuity event under the Governance Continuity Framework §4.1 (RAC) or §4.2 (signers). A vacated seat — and the seat of a member who is inactive during a notice period — is excluded from quorum immediately (DAO Parameters §5.1), so a disengaged member cannot block quorum while notice runs.

(c) Simultaneous resignations. Where concurrent resignations would breach the floor, this section applies to each; the floor is protected by the notice overlap in (a) and, failing that, by the continuity escalation in (b).

11.3 No Trading of Seats

A role holder may not resign a seat, and no person may accept one, as part of an arrangement or understanding under which the resigning person is to receive any other role, Delegated Function, or compensated engagement in the DAO.

Effect. Where a resignation forms part of such an arrangement, any seating from the reserve list under §7.5 in consequence of that resignation is **void** and the seat is referred to a replacement election under §11.1. The resignation itself stands. Any role the resigning person received under the arrangement is void from the outset. Entering into such an arrangement is a breach of duty reportable under the **Code of Conduct §6** and grounds for removal under §10.2.

Scope. This section reaches the arrangement, not the sequence. A person who resigns a seat and later stands for election to another role, or is allocated a Delegated Function on being seated elsewhere, does not contravene it. Where a role holder resigns within the Reserve List Validity Period (DAO Parameters §6B) of an election and takes another DAO role within that period, they must confirm to the RAC that no such arrangement existed, and the RAC publishes the confirmation with the seating.

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12. Handover Requirements

Outgoing role holders must provide their successor and the RAC with a status overview of all active workstreams, transfer all documentation and access credentials required to perform the role, and remain reasonably available for handover questions for the period defined in the Contributor Onboarding and Offboarding Policy §6.2. A handover that fails to meet these requirements is a reportable performance issue and may be considered in any subsequent challenge or removal proposal involving the outgoing role holder.

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13. Performance Expectations

Role holders are expected to fulfil the responsibilities defined in their role's charter or mandate, maintain timely communication and reporting on the cadence required by the relevant policy, and remain reasonably available to the community and other role holders during their term. Sustained failure to meet these expectations is grounds for removal under §10.2.

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14. Inactivity Rules

A role holder who fails to participate in role duties for longer than the Inactivity Threshold (DAO Parameters §6B) without declared unavailability is flagged by the RAC for review. The RAC may then issue a formal performance notice and, where the inactivity persists or is sufficiently severe, may initiate a removal proposal under §10. "Inactivity" is defined in DAO Parameters §6B and excludes declared unavailability periods.

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15. Conflicts of Interest

Role holders are covered persons under the **Conflict of Interest Policy**. Disclosure, recusal, and prohibited-conduct obligations apply in full.

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16. Multi-Role Participation

An individual may hold up to the Max Concurrent Roles per Individual defined in DAO Parameters §6B (currently 2). Holding multiple roles is permitted only where the combination does not concentrate authority in a way that defeats the separation between oversight and execution — for example, a person may hold both a RAC seat and a Delegate function, but conflict-of-interest recusal applies to any matter where the two roles touch the same decision. Specific incompatibilities, if any, are defined in the RAC Mandate, the Conflict of Interest Policy, or the relevant Working Group charter.

17. Founding Provisions

The Transition RAC is constituted under Operating Agreement Article VI, carrying the community's pre-existing founding mandate. Its mandate is limited to the formation tasks listed in OA §6.5 and sunsets automatically on the **Activation Date** (Operating Agreement §6.10), with the Permanent RAC already seated. The Transition RAC's seats are not elected under this policy — they are named in Operating Agreement Schedule 1 and admitted to legal Membership on entity formation, and a vacated seat is refilled under Operating Agreement §6.11, not under this policy.

The **first Permanent RAC election** is the first election conducted under this policy. It is run during the Transition Period by the Transition RAC using the procedures in §6–§7. The election and the formal **seating** of at least the minimum number of Permanent RAC members (DAO Parameters §3A.5) is a **precondition to the Activation Vote** (Operating Agreement Schedule 5, condition 7), not itself the endpoint of the Transition Period; the Transition Period ends on the Activation Date when the Activation Vote passes (Operating Agreement §1.2). Elected members must be KYC-verified before seating, the Transition RAC must open the election within the deadline in DAO Parameters §3A.5, and seating must complete before the Activation Statement is published (Operating Agreement §8.5).

Transition RAC members are eligible to stand as candidates for the Permanent RAC on the same basis as any other eligible candidate, subject to §5 — **at least one seated Transition RAC member must not stand**, so that a non-recused member remains to discharge the RAC's functions in relation to the election. With three seats, at most two may stand. Where two stand, the body falls below the non-recused floor in DAO Parameters §5.1 and §7A.4A governs the determination. Service on the Transition RAC creates no automatic right to a Permanent RAC seat and no preferential treatment in the election.

Interim appointments under the Governance Continuity Framework (for example, emergency signer appointments from the Emergency Signer Reserve) are not eligible for auto-renewal under §9. A full election under §7 must be held at the end of the appointed term before auto-renewal rights accrue to a holder of that seat.

17.1 Failed Founding Election — Re-run

Where the first Permanent RAC election does not result in the formal seating of at least the minimum number of members required for Activation Condition 7 (DAO Parameters §3A.5; §5.1), **the election does not lapse and the Transition Period does not end.** The Transition RAC must **re-run the election** under §6–§7, opening a fresh nomination round within the Replacement Election Trigger Time (DAO Parameters §6B) measured from the failed result, and must continue to do so until at least the minimum number of members is duly elected and seated.

This applies however the shortfall arises, under either mechanism. It includes in particular:

- **Either mechanism** — a failed Temperature Check, which is terminal for that election (Proposal & Voting Framework §3.2)
- **Two-stage** — the Stage 1 shortlist is exhausted under §7.3 with fewer than the minimum confirmed; or Stage 2 confirmation votes fail to reach the Election Stage 2 Quorum or the Election Stage 2 Approval Threshold
- **Majority Judgment** — the round closes below the Minimum Participation for Elections and the single permitted rerun also closes below it; or the RAC does not open a rerun within the deadline in §7A.3; or the round meets quorum but fewer than the minimum number of candidates are electable under §7A.1
- **Either mechanism** — seats left unfilled by a tie that a runoff did not resolve (§7.2.1; §7A.4A)

Reruns inside an election are exhausted first. The single rerun permitted under each mechanism — Max MJ Reruns and Max Election Stage 2 Reruns (DAO Parameters §6B) — caps that election, not this section. Where a candidate is entitled to a Stage 2 quorum-held-over rerun under §7.3 (reduced rerun quorum, raised approval threshold, extended voting period), where fallback advancement remains available under §7.3, or where the Majority Judgment rerun under §7A.3 has not yet run, those run to exhaustion before the election is treated as failed for the purposes of this section.

Mechanism on a re-run. A re-run is a fresh election and runs under the mechanism in force for it under §7 — **Majority Judgment unless the DAO has resolved otherwise**. The Transition RAC does not select it for a re-run any more than for the first round; a failed round confers no power to change how the next one is counted, and the point has most force here, where the field from the failed round is already known. The mechanism in force is stated on the re-run's Temperature Check ballot (Proposal & Voting Framework §3.2), and a failed Temperature Check is terminal, so the community approves or rejects the candidate list knowing how it will be counted.

The vacancy-handling procedure in §11 presupposes a seated Permanent RAC and does **not** apply to the founding election; this section governs instead. Election proposals are excluded from the general Governance Inactivity fallback (DAO Parameters §9A; Governance Continuity Framework §4.3), under both mechanisms.

17.2 Transparency While Activation Condition 7 Is Unmet

A failed founding election is a matter within the Company's own control and is **not** an external dependency under Operating Agreement §8.7. Where Activation Condition 7 remains unsatisfied for longer than the Replacement Completion Time (DAO Parameters §6B) after an election round closes, the Transition RAC must publish a status notice to the Official Venue stating the cause and the plan for the next round, and must update the community at intervals of not less than once every **30 days** for so long as the condition remains unmet. This is the founding-election analogue of the reporting duty in Operating Agreement §8.7 and confers no power to declare or defer the Activation Date (Operating Agreement §8.3).

17.3 No Self-Help Lowering of the Minimum

Activation with fewer than the minimum number of seated Permanent RAC members is possible **only** by a formal waiver of Activation Condition 7 under the Schedule 5 Waiver clause, which requires the Entrenched-Provision amendment threshold for the Transition Period (Operating Agreement §12.2(c); DAO Parameters §3A.4), including a concurrent recognised community advisory outcome. The Transition RAC has no authority to lower the minimum or waive the condition on its own, and the emergency-amendment power (Charter §12.2) may not be used for this purpose because it may not alter the Activation framework (Charter §4A).

17.4 The Founding Election and the Emergency Signer Reserve

The first Permanent RAC election constitutes the **Emergency Signer Reserve** (**Treasury Signers Rules §15**) for the **Reserve List Validity Period** (DAO Parameters §6B) measured from the completion of that election.

A candidate who is electable but not seated, and who is placed on the reserve list under §7.5, is a member of the Reserve for that period where the candidate:

- declared willingness to hold Treasury Signing and to serve on the Reserve in their candidate submission under §6.2; **and**
- has completed KYC verification (**Operating Agreement §10.4**).

KYC is a condition of Reserve membership, not of candidacy. A candidate who does not complete it is on the reserve list under §7.5 but not on the Reserve.

What Reserve membership confers. No seat, no signing authority, and no claim on any role. It makes a person available for interim appointment under the **Governance Continuity Framework §4.2** only, for the maximum interim period stated there, and subject to the **Treasury Signers Rules** in full while appointed. A Treasury Signing seat is seated by election under **Delegate Mandate §3.1 or §3.2** or by RAC allocation; Reserve membership is not a route to a seat.

Contingency and expiry. Where the election produces no reserve candidates, or none satisfying both conditions above, no Reserve arises under this section. A Reserve constituted under this section lapses on expiry of the Reserve List Validity Period, after which **Treasury Signers Rules §15** governs. The Governance & Legal Working Group may constitute a Reserve under §15 at any time, and memberships under the two routes are cumulative.

Nothing in this section qualifies §5. A nomination made without willingness to serve in the role nominated for is invalid, whatever the candidate intends to obtain from the outcome.

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18. Governance Parameters

The following parameters are defined in DAO Parameters §6B and are authoritative for this policy:

- Standard Term Length
- Term Renewal Challenge Window
- Challenge Filing Threshold
- Consecutive Renewal Cap
- Election Voting Duration
- Nomination Period
- Removal Vote Threshold *(a cross-reference only — a removal carries no threshold of its own; see §10.1)*
- Inactivity Threshold
- Replacement Election Trigger Time
- Replacement Completion Time
- Max Concurrent Roles per Individual
- Election Shortlist Multiplier
- Election Stage 1 Max Selections
- Election Stage 2 Quorum
- Election Stage 2 Approval Threshold
- Election Stage 2 Rerun Quorum
- Election Stage 2 Rerun Approval Threshold
- Election Stage 2 Rerun Voting Period
- Max Election Stage 2 Reruns
- Election Tie Runoff Quorum
- Minimum Participation for Elections
- MJ Minimum Qualifying Grade
- MJ Rerun Quorum
- MJ Rerun Minimum Qualifying Grade
- MJ Rerun Voting Period
- Max MJ Reruns
- Reserve List Validity Period

The **Grade Quantile** is not in this list. It is fixed in the Proposal & Voting Framework §6.2.4 rather than held as a parameter, and is not adjustable through DAO Parameters.

The Majority Judgment grade scale is defined in DAO Parameters §3.5.

Changes to these parameters require a Governance Proposal amending the DAO Parameters Registry.

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19. Relationship to Other Policies

- **Proposal & Voting Framework §4.5 and §6.2** — Election pipeline and vote mechanics; §6.2.4 (Majority Judgment) and §6.2.5 (Two-Stage Elections) define the two mechanisms
- **Proposal & Voting Framework §3.2** — The Temperature Check as candidate-list approval and as the point at which the election mechanism is stated
- **Proposal & Voting Framework §6.3 and §6.5** — Participation and denominators for graded ballots; result determination and publication
- **Working Group Framework** — Steward role context and dissolution-driven offboarding

- **Contributor Onboarding and Offboarding Policy §6** — Steward handover obligations
- **Conflict of Interest Policy** — Disclosure and recusal obligations
- **Code of Conduct** — Behavioural standards; censure and breach findings
- **Governance Continuity Framework §4.1, §4.2** — Continuity events, interim appointments, fallback authority
- **RAC Mandate** — RAC eligibility and oversight role
- **Delegate Mandate §3, §3.1–§3.3** — How Delegated Functions are seated: allocation from among seated RAC members, elected seats, the conversion duty, and the initial Treasury Signing roster
- **Treasury Signers Rules** — Signer-specific eligibility, declared unavailability, and inactivity treatment
- **Dispute Resolution & Arbitration Policy** — Escalation path for contested renewals, removals, or recusals

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20. Amendments

*Amendment procedures and classification requirements are defined in the **Governance Maintenance & Upgrade Framework**.*

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21. Guiding Principle

No role is permanent. All authority flows from the DAO and returns to it.